

Customer Value Engine

UK online wholesaler, Dec 2009 to Dec 2011. Where the revenue comes from and what the next six months look like. Known customers only.

Customer type

All

Country

All

£16,522,961

Revenue, two years

5,839

Customers

71.5%

Bought on more than one day

£2,486,221

Next 6 months, planning case

76.7%

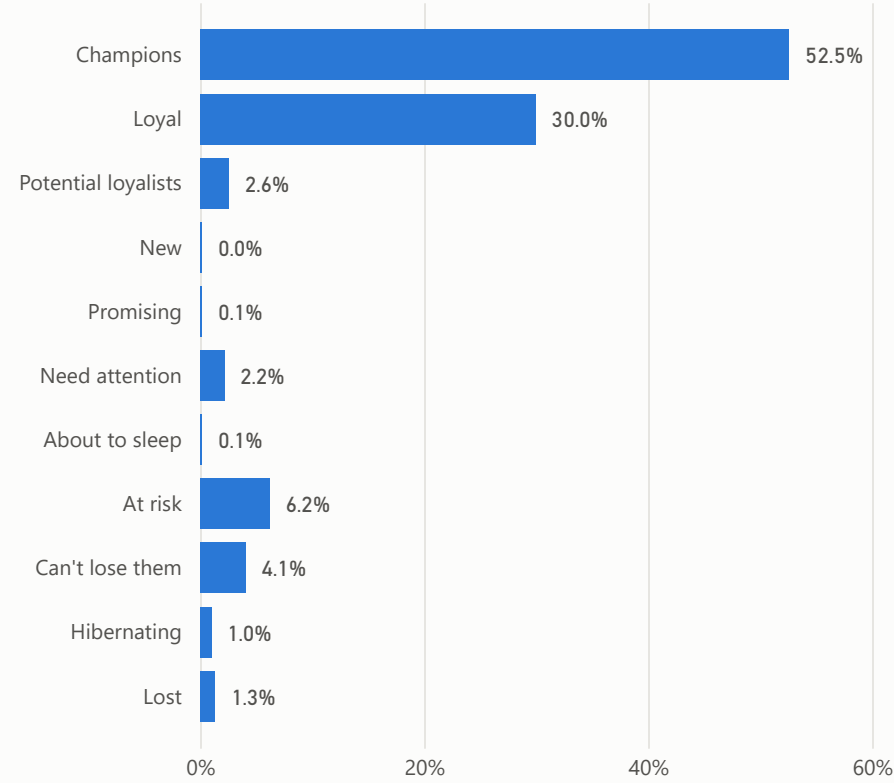
Revenue from the top 20%

Monthly revenue, then the forecast for customers known on 9 Dec 2011

Actual Revenue Planning Forecast Model Forecast



Share of revenue by RFM segment



Retention

Who comes back, and how fast. New customers only: people already buying in December 2009 were not new, the data just starts there.

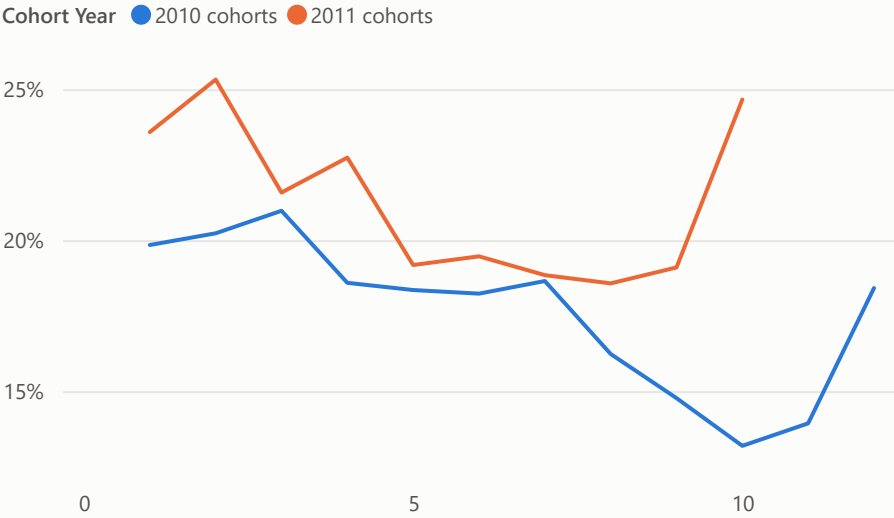
20.9%

Buy again the next month

Share of each month's new customers buying again, by month since their first order

Cohort Label	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22
Jan 2010	21%	32%	32%	27%	31%	27%	23%	29%	33%	31%	17%	23%	18%	19%	15%	24%	20%	19%	20%	25%	20%	25%
Feb 2010	24%	23%	29%	25%	20%	19%	29%	26%	28%	11%	13%	15%	18%	12%	20%	16%	16%	14%	23%	23%	17%	
Mar 2010	19%	23%	24%	23%	20%	24%	31%	28%	11%	11%	15%	20%	16%	20%	17%	17%	15%	18%	20%	21%		
Apr 2010	19%	19%	16%	18%	22%	28%	27%	11%	11%	7%	14%	14%	16%	16%	16%	14%	15%	18%	23%			
May 2010	15%	17%	18%	18%	26%	21%	13%	6%	8%	11%	13%	15%	15%	10%	13%	14%	16%	15%				
Jun 2010	18%	19%	21%	23%	28%	13%	9%	8%	11%	10%	14%	15%	12%	11%	12%	13%	20%					
Jul 2010	16%	18%	30%	29%	14%	11%	15%	15%	11%	13%	15%	13%	13%	19%	17%	23%						
Aug 2010	20%	29%	33%	17%	12%	10%	13%	14%	12%	13%	12%	15%	17%	17%	20%							
Sep 2010	23%	23%	13%	9%	10%	14%	9%	13%	13%	12%	10%	23%	17%	17%								
Oct 2010	26%	15%	12%	9%	8%	13%	14%	11%	9%	11%	13%	19%	24%									
Nov 2010	17%	9%	9%	8%	9%	13%	10%	9%	9%	11%	15%	25%										
Dec 2010	9%	5%	9%	12%	6%	5%	9%	5%	4%	9%	19%											
Jan 2011	15%	22%	19%	22%	14%	15%	12%	11%	21%	25%												
Feb 2011	16%	17%	19%	21%	16%	16%	15%	15%	18%													
Mar 2011	18%	21%	19%	22%	15%	21%	20%	24%														
Apr 2011	25%	20%	20%	18%	24%	18%	25%															
May 2011	24%	24%	16%	21%	20%	26%																
Jun 2011	23%	21%	27%	20%	28%																	
Jul 2011	21%	30%	28%	35%																		
Aug 2011	26%	29%	27%																			
Sep 2011	28%	38%																				
Oct 2011	32%																					

First year retention, 2010 vs 2011 cohorts



Read it like this

Each row is the customers whose first order fell in that month. Customers first seen in September to November are Christmas buyers: quiet through spring and summer, back the next autumn, which shows as a diagonal in the matrix.

The last cohorts are short because the data ends in December 2011. December 2011 itself is left out because it only has nine days.

Customer value

Who is worth what over the next six months, and who might already be gone. Values come from the MBG/NBD and Gamma-Gamma models.

Segment

All

Chance still active

All

£2,486,221

Next 6 months, planning case

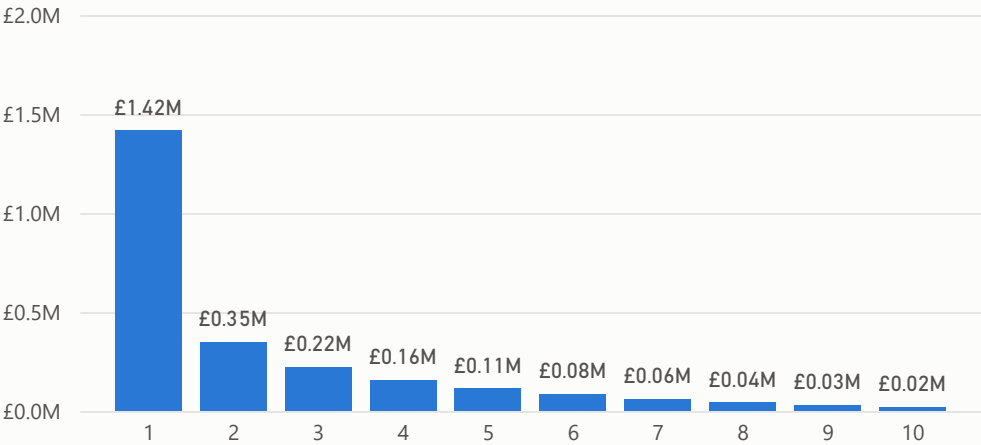
£189,426

Value at risk if nothing changes

86.0%

Average chance still active

Planning value by decile, 1 = top 10% of customers



Customers by segment and chance of still being active

Segment	90% and over	70 to 90%	40 to 70%	under 40%
Champions	868			
Loyal	1,138	111	15	6
Potential loyalists	676	1		
New	25			
Promising	70			
Need attention	341	155	4	
About to sleep	53	40		
At risk	75	409	251	124
Can't lose them	1	22	23	57
Hibernating	29	497	24	
Lost		758	59	7

Top 25 accounts by expected value

Customer	Country	Segment	Next 6 months	Chance active	Days since last order
18102	United Kingdom	Champions	£75,705	100%	1
14646	Netherlands	Champions	£68,245	100%	2
14156	EIRE	Champions	£38,968	99%	10
17450	United Kingdom	Champions	£38,080	99%	9
14911	EIRE	Champions	£34,248	100%	2
14096	United Kingdom	Champions	£27,106	99%	5
13694	United Kingdom	Champions	£25,164	100%	4
12415	Australia	Loyal	£23,362	98%	25
17511	United Kingdom	Champions	£21,856	100%	3
16684	United Kingdom	Champions	£18,488	99%	5
15061	United Kingdom	Champions	£16,105	100%	4
15311	United Kingdom	Champions	£14,881	100%	1
13089	United Kingdom	Champions	£14,692	100%	3
17949	United Kingdom	Champions	£13,078	100%	2
14298	United Kingdom	Champions	£11,802	99%	9
15769	United Kingdom	Champions	£10,919	99%	8
14088	United Kingdom	Champions	£10,207	99%	11
12931	United Kingdom	Loyal	£10,037	98%	22
13798	United Kingdom	Champions	£9,882	100%	2
15838	United Kingdom	Champions	£9,627	99%	12
17841	United Kingdom	Champions	£8,925	100%	2

Retention budget plan

Where the retention money should go, and where it should not. Campaign response is assumed, not measured: see config.toml.

Gross margin (default 35%)
All

£6,314

Spend that pays back

394

Accounts targeted

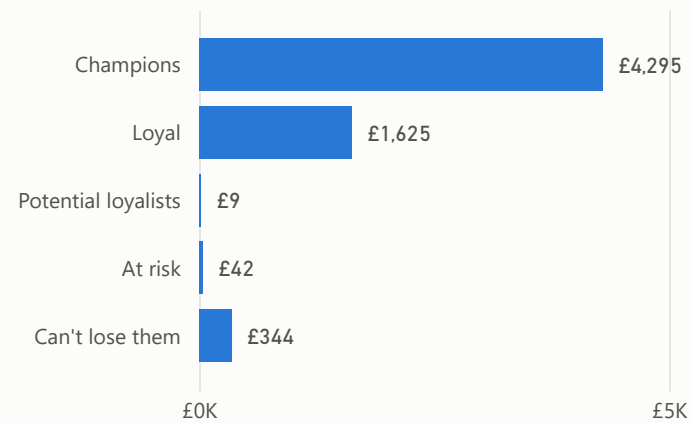
£18,756

Expected extra margin

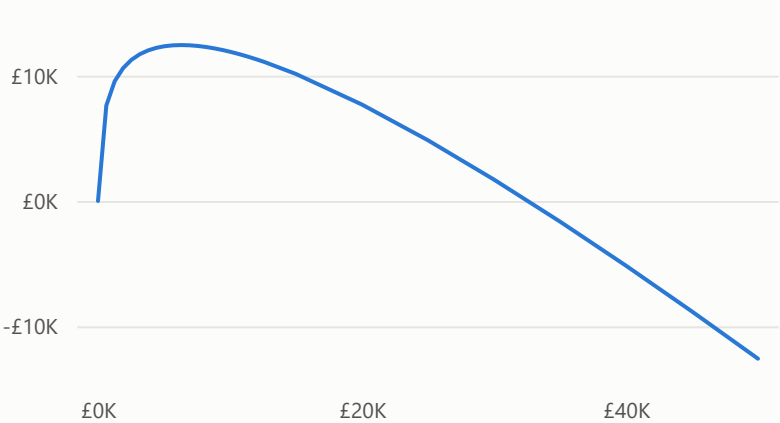
£2.97

Margin back per £1

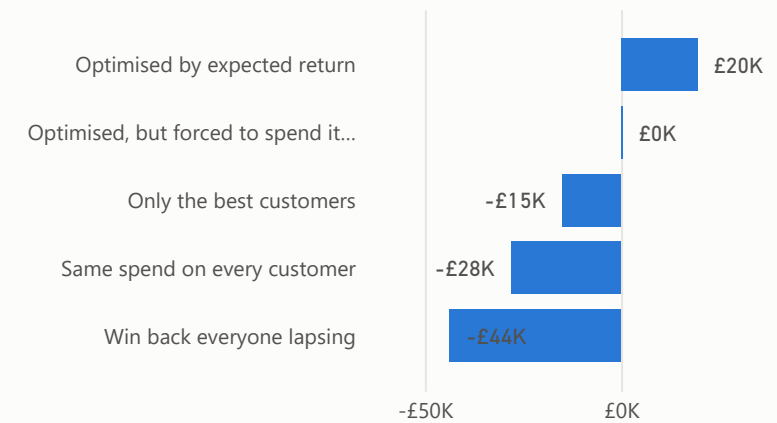
Planned spend by segment



Profit after spend at each budget (best placement)



Profit by plan, median across 2,000 assumption runs



Target list

Customer	Segment	Action	Spend	Expected extra revenue	Chance active
18102	Champions	Early access to new ranges, account manager check-in	£104	£4,502	100%
14646	Champions	Early access to new ranges, account manager check-in	£101	£4,048	100%
14156	Champions	Early access to new ranges, account manager check-in	£88	£2,309	99%
17450	Champions	Early access to new ranges, account manager check-in	£87	£2,266	99%
14911	Champions	Early access to new ranges, account manager check-in	£84	£1,990	100%
14096	Champions	Early access to new ranges, account manager check-in	£79	£1,613	99%
13694	Champions	Early access to new ranges, account manager check-in	£76	£1,450	100%
12415	Loyal	Reorder reminder ahead of their usual cycle, volume tier offer	£76	£1,417	98%